Why Do I Need to Understand This?

You may be surprised to start your financial literacy journey by learning about interest. Perhaps you expected to jump right into budgets, taxes, or investing; maybe you are thinking that understanding interest is not as urgent as learning about these other topics. The truth is, interest really is the backbone of personal finance. Banking, debt, credit cards, investing, student loans, saving for retirement, creating a budget, and buying a car or home are all based on or heavily influenced by interest. If you want to take control of your finances and manage your money wisely, you need to understand this concept first.

Interest is the cost of borrowing money. You may be thinking, "I am not planning to borrow money regularly, so I won't be dealing with interest too often." False. You will likely be borrowing money all the time. The following are all examples of borrowing money:

- If you make car payments, you have borrowed money.
- If you make credit card payments, you have borrowed money.
- If you make student loan payments, you have borrowed money.
- If you make mortgage (house) payments, you have borrowed money.

Let's use a car payment as an example. The great majority of people who want to buy a car are going to need to borrow money to pay for it. If a used car costs $16,000, very few people have $16,000 in their bank accounts to give to the dealership. Instead, they agree to pay a little bit of money up front (this is called a